MOZAMBIQUE | JLA ADVOGADOS

COUNTRY INFORMATION

Mozambique has a 2 470 kilometre coastline and a total land area of 801 590 square kilometres. It is a tropical country with effectively two seasons, a hot and wet season from October to March, and a dry season from April to September. The country's official language is Portuguese. It has an estimated population of about 33 244 414. The official currency is the Metical. The use of the US Dollar, the South African Rand and the Euro in business transactions has been restricted since January 2016.

POLITICAL SYSTEM

Multiparty Democracy. Mozambique's political system is a Presidential Republic. The country is governed by a President, who is the head of state and government. The President is elected by popular ballot for a five-year term. Legislative power is exercised by the Assembly of the Republic, a unicameral parliament made up of deputies elected by the people. The political system also includes an independent judiciary.

LATEST GDP FIGURES

The growth of the Mozambican economy is expected to accelerate in the medium term, reaching 6% in 2025, driven by a continued recovery in services, an increase in the production of liquefied natural gas and high raw material prices. However, negative factors, caused by climate shocks, security risks and pressure on food and fuel prices, could reduce GDP growth in the medium term to 4.5%.

INFLATION RATE

Inflation is expected to fall to 7 % in 2025 due to pressure from oil and gas megaprojects.

INVESTMENT CLIMATE

Mozambique strongly encourages foreign direct investment and has enormous investment opportunities in sectors such as agriculture, oil and gas, mining, fisheries and aquaculture, tourism, construction, public infrastructure and energy.

Mozambique has the third largest proven reserves of natural gas in Africa. In accordance with recent data from the National Institute for Petroleum, these reserves amount to about 100 trillion cubic feet. In addition to the onshore fields located in the southern part of the country, the offshore field in the area of the Rovuma Basin has become the focus of international attention, with several major players showing their interest in this area (ENI, Total, Anadarko/Occidental Petroleum and Exxon) over the last few years.

Mozambique is also renowned as a metal exporter and the country has significant deposits of coal, ruby, titanium, marble, copper and gold, amongst others. An ongoing and growing influx of investment is therefore expected, boosting Mozambique's competitiveness in this area.

Mozambique is a country with enormous potential in the tourism sector, whether regionally or internationally. Thus is a result not only of its wealth of natural resources and its history and culture, but also its proximity to the Republic of South Africa, one of the most popular destinations in Africa and in the world. In this sector there is an almost unparalleled range of opportunities for potential investors, especially when compared to other countries in Southern Africa.

The Constitution of the Republic of Mozambique guarantees foreign investment undertaken in terms of its economic policy. Foreign investment is allowed in all economic sectors. The State guarantees the right to property. Expropriation may only occur if in the context of public interest and if fair compensation is paid. The investment law, its regulations and the Code of Fiscal Benefits constitute the general regulatory framework for national and foreign investments that are eligible for Government guarantees and financial incentives. These guarantees/ incentives comprise:

- legal protection of private property and rights, including intellectual property rights
- the right to transfer dividends and funds out of Mozambique which are connected with:
- profits from investments eligible for export in terms of the Investment Laws
- royalties or other remuneration for indirect investment relating to the transfer of technology
- amortisation of loans and payment of interest on loans granted in the international financial market for investment projects in the country
- any compensation paid by the Government
- invested and re-exportable foreign capital
- dispute resolution by the International Centre for the Settlement of Investment Disputes (ICSID) or the International Chamber of Commerce (ICC)
- investment risk insurance from the World Bank's Multilateral Investment Guarantee Agency (MIGA) and the Overseas Private Investment Corporation (OPIC) (an independent agency of the United States Government).

Investment projects approved under the legislation applicable to investment in Mozambique, are eligible for the following benefits, based on their location and/or activity:
- guarantee of protection of ownership rights

- guarantee of the transfer of funds (profits or dividends, royalties, amortisations and interest from loans and foreign capital invested and re-exportable) abroad
- grant of tax benefits.

Tax benefits include:
- exemption from custom duties and Value Added Tax on the import of capital goods in class "K" of the Custom Tariff
- tax credit for investment
- accelerated depreciation and amortization
- deductions from taxable income for investments in modernisation and launching of new technology
- deductions from taxable income for investments in vocational training.

Tax benefits are categorised as generic or specific. Most investments fall under the generic category.

The following are subject to specific tax benefits:
- the creation of basic infrastructure
- commerce and industry in rural areas
- manufacturing and assembly industries
- agriculture and fisheries
- hotel and tourism activity
- science and technological parks
- large-scale projects (representing an investment of more than 12 500 000 000 Meticais)
- projects carried out in Rapid Development Zones
- projects carried out in Industrial Free Zones
- projects carried out in Special Economic Zones.

Other reforms include the revision of labour laws and the Commercial Code, comprehensive judicial reform and the creation of a commercial court to facilitate the settlement of commercial disputes, the liberalisation of the financial sector (including the creation of an independent central bank, the Bank of Mozambique), civil service reform and improved Government budget making and auditing.

Although most sectors of Mozambique's economy are open to foreign investment and foreign investors generally receive the same treatment as domestic investors, some restrictions remain. The private ownership of land is restricted and mining and management contracts are subject to specific performance requirements. Foreign ownership or control of companies is however not restricted.

The Government has created the Agency for Investment and Export Promotion (APIEX) from the merger of three institutions promoting trade and exports namely CPI (Investment Promotion Centre), GAZEDA (Office for Economic Accelerated Development Zones) and IPEX (Export Promotion Institute). APIEX is a public institution whose purpose is the promotion and facilitation of public and private investment and exports (including assisting investors to obtain governmental approvals), the optimisation of resources and the creation of greater synergies in the country's economy.

The mining and oil and gas sectors are each subject to a specific investment regime which allows for tax benefits. Undertakings covered by the Mega-Project Law (public-private partnerships, large scale projects and business concessions) are subject to specific investment, operating and financial requirements.

FORMS OF BUSINESS

- private limited liability company or quota companies
- public limited liability company or share companies
- joint partners limited liability company
- simplified joint-stock company
- State owned companies
- individual trader
- foreign company by means of a foreign commercial branch or representative office of a foreign company.

INCORPORATION OF A COMPANY

Companies must:

- reserve the company's name at the Legal Entities Registrar Offices
- prepare a standard draft of the articles of association of the company
- open a bank account with a local bank to deposit the share capital and register the equity transfers with the Bank of Mozambique (for foreign shareholders)
- execute a public deed or a private deed of incorporation of the company
- formalise the company registration at the Legal Entities Registrar Offices
- publish the incorporation of the company and its articles of association on the Official Gazette
- register the company with the relevant Tax Department to obtain a taxpayer number (NUIT)
- obtain licenses from the relevant authorities for the intended area of business activity
- present the declaration of beginning of business before the relevant Tax Department.

Incorporation procedures of Foreign Companies in Mozambique (Branch)

The following procedure is required:

- request for an opinion from the entity/authority that supervises the activity to be carried out
- submission of an application addressed to the Minister of Industry and Trade, for the licensing and inspection of the branch
- notification of the date of the inspection
- inspection
- issuance of the License
- registration of the branch at the Legal Entities Registrar
- tax Registration before the relevant Tax Department

- if applicable, obtain the competent license by the entity that supervises the activity
- declaration of beginning of activity before the relevant Tax Department.

EXCHANGE CONTROLS

On 20 March 2024, Central Bank of Mozambique, through Notice number 03/GBM/2024 of 20 March 2024, approved new regulations under the Exchange Control Law and revoked the existing regulations. These regulations were approved by the Central Bank in the exercise of its powers of the "Exchange Control Authority". These include:

- pre approval by the Central Bank is required for a list of transactions
- the inflow and outflow of foreign currency is subject to conditions and restrictions to be determined by the Central Bank
- remittance of export earnings from goods and services and investment income generated or held abroad is subject to terms and conditions determined by the Central Bank
- the creation of a specific account in order to receive export earnings is permitted
- mandatory and priority use of the balance in such specific accounts is required for payments abroad. Transfers may only be made to accounts of the same nature in foreign currency, at the level of the national banking system. Payments in foreign currency to non-exporting residents is no longer allowed
- the submission of requests for authorisation of capital transactions, is made by the interested party through an intermediary bank which must check the documentation and carry out the proper characterisation and framing of the foreign exchange operation
- an account in foreign currency may be opened by residents with a proven relationship outside Mozambique or with a nonresident
- regarding Foreign Direct Investment (FDI):
- FDI is automatically authorised, the only requirement being registration with the intermediary bank
- the entry of foreign currency must be registered with the intermediary bank in real time and duly classified
- registration with the Central Bank is required within 90 days if it involves machinery, equipment or other material goods
- investments through shareholders loans or related company credit are automatically authorised when:
- the interest rate is 0%, the duration is 3 years or more and there are no charges and commissions
- the interest rate is above 0% (but below the reference rate of the currency of credit), the duration is equal to or greater than 3 years, without commissions and charges, up to an amount of USD 5 million
- in the oil and gas sector, all payments in the production phase must be made by intermediary banks authorised to operate in Mozambique.

Most other forms of importation or exportation of capital, as well as other transactions between residents and non-residents, or between non-residents, regarding assets located in Mozambique require prior authorisation from the Bank of Mozambique and must also be registered. Failure to comply with the exchange control provisions and regulations will prevent any outflow of funds from Mozambique and may result in penalties and fines as well as forfeiture of the assets or values involved in the illegal transaction. The import and export of goods and services, and certain foreign payments are permitted provided that payments are not deferred for more than two years and that the transaction is registered.

TAXATION

Corporate income tax (CIT) is a direct tax levied on income obtained by legal persons during the relevant tax period (usually the calendar year) over the global annual value of the income (if the taxpayer is resident) or income derived from activities in Mozambique (if the taxpayer is non-resident). The basic test of residence is whether the taxpayer has headquarters or effective management in Mozambican territory. Commercial companies with a head office or effective management in Mozambique are subject to a general CIT rate of 32%.

Non-residents earning income in Mozambique, or related to activities in Mozambique may be subject to CIT. This tax is collected by withholding it at source at the flat rate of 20% of the income (except for those incomes qualified as capital gains which are levied at the general tax rate of CIT of 32%) or 10% in the following cases:

- income from telecommunications and international transport, as well as income arising from the assembly and installation of equipment related to those services and to aircraft maintenance and freight
- income from the construction and regeneration of infrastructure for the production, transport and distribution of electricity in rural areas in connection with public projects of rural electricity supply
- income from the chartering of seagoing vessels for fishing or cabotage purposes
- income from securities listed on the Mozambican Stock Exchange.

With regard to the taxation of income received in Mozambique by entities which do not have a registered office or effective management in Mozambique, or a permanent establishment in Mozambique, account should be taken of the provisions of conventions for the avoidance of double taxation and the prevention of tax avoidance or evasion which establish the place of taxation of the income and, in some situations, provide for rates lower than those established in national legislation. To date, Mozambique has entered into such conventions with Portugal, Mauritius, United Arab Emirates, Italy, Macau, South Africa, Botswana, India and Vietnam. These conventions are not automatically applicable and

require a residence certificate of the beneficiary of the income issued by the Tax Administration of the relevant country, to be confirmed by the Mozambican Tax Authority. Appropriate forms approved by the Ministry of Finance must be completed for that purpose.

Value Added Tax (VAT) is levied at a fixed rate of 16% on the sale of goods and services in Mozambique, and on imported goods. Exports are VAT exempt.

Specific taxation regimes apply to certain economic sectors such as mining and oil and gas. Laws governing these sectors provide for capital gains tax to be paid on the transfer of oil and mining participating interests and other assets by residents and non-residents, at a rate of 32%. Specific rules relate to the calculation of gains, taxable income, deductible costs and amortisation. Income from the provision of services rendered by non-resident entities to Mozambique oil and mining companies is subject to withholding tax at the rate of 10% of the gross amount paid. The mining and oil and gas tax regime provides tax stability, regarding tax incidence, rates and benefits, for a period of up to 10 years, as follows:

- Mining - from the date of production or approval of a development plan (without affecting the assumptions of feasibility and profitability) and may be extended up to the termination of the primary concession, subject to an additional payment of 2% of the Production Tax. This becomes effective through proven investment in an amount equivalent to USD 5 million

- oil and gas - from the date of production or approval of a development plan (without affecting the assumptions of feasibility and profitability of the project) and may be extended up to the termination of the primary concession, subject to an additional payment of 2% of the Production Tax, from the eleventh year of production. This becomes effective through proven investment in an amount equivalent to USD 100 million.

The Corporate Income Tax liability of companies holding concession contracts is calculated separately for each concession contract. This means that a separate tax return must be submitted for each concession (oil and mining activities are subject to a ring-fencing principle).

Exemptions from custom duties are granted for a period of five fiscal years for the import of equipment and goods for oil and mining operations (to the extent that they are not precluded on the local market). Value Added Tax exemptions are not granted on the import of equipment and goods.

Mining and oils and gas companies operating under a concession contract are obliged to have their accounts audited by authorised independent auditors. The Mining Law expressly provides that indirect transfers of participating interests, titles and/or mining rights, by way of change of control of any license holder, are considered as a transfer of rights and obligations under a mining license and, therefore require prior governmental approval. Non-compliance with any transfer requirements will result in any such transfers being void.

Under the Corporate Income Tax Code, transactions between non-residents regarding shareholding interests or rights concerning assets in Mozambique are taxable if such transactions relate directly to Mozambique companies irrespective of where the transaction occurred.

COMPETITION LAW – MERGER CONTROL

The Competition legal framework is applicable to all economic activities (both private and public sectors) carried out in Mozambique. The law focuses primarily on regulating prohibited conduct, anti-competitive practices as well as enterprise concentrations in order to avoid distortions or restrictions on the relevant markets. Under the Competition Law, all transactions that result in concentrations of enterprises are subject to control by the Competition Regulatory Entity (the "ARC"). Filing with the ARC is mandatory for those transactions that exceed a certain market share, business volume (based on global turnover) or annual turnover. Such filing must be made within seven working days after the conclusion of the transaction agreement or the project that gives rise to the concentration. The thresholds for market shares are:

- if the execution of such transaction results in a share equal to more than 50% being acquired, created or reinforced in the national market for certain goods or services, or a substantial part of it
- if the execution of such transaction results in a share equal to or more than 30% but less than 50% being acquired, created or reinforced in the national market for certain goods or services, or a substantial part thereof, as long as the business volume individually made in Mozambique by at least two of the enterprises participating in the transaction is more than 100 million Meticais, net of taxes directly related with such business
- if the companies participating in the concentration transaction have jointly made in Mozambique, a volume of business of approximately 900 million Meticais, net of taxes directly related to such business.

The filing of foreign mergers is mandatory to the extent that they have an effect in Mozambique and exceed the above thresholds even if none of the enterprises involved in the transaction are established in Mozambique.

LEGAL SYSTEM

Mozambique's legal system is based on Roman-Germanic law (i.e. a civil law system). There are two main regulatory bodies, the Parliament (which approves the laws) and the Council of Ministers (which approves decrees). The courts

have exclusive jurisdiction to settle disputes by judicial means unless the parties have agreed to submit a dispute to arbitration. The courts operate according to the principle of separation of powers and are classified as sovereign bodies under the Constitution. The law differentiates between judicial courts, administrative courts and other special courts like the customs court and tax court. The courts include the Supreme Court, The Supreme Appeal Courts, the Provincial Courts and the Districts Courts. The administrative court has special jurisdiction to hear disputes in legal administrative relationships, litigation appeals lodged against the decisions of state bodies and agents and appeals lodged against tax and customs' court decisions.

The Arbitration Law expressly provides that arbitral awards rendered in Mozambique pursuant to the Arbitration Law should be treated and enforced in the same manner as a judgement of the Mozambican courts. In cases of non compliance with any arbitral award, enforcement proceedings must be commenced in the Mozambican courts. Mozambique ratified the New York Convention on 11 June 1998 (subject to reciprocity) and this entered into force on 9 September 1998. The Mozambican courts are prima facie required to give effect to an arbitration agreement and recognise and enforce arbitral awards made in other New York Convention Member States against the assets of a party located in Mozambique. The enforcement of foreign judgment and arbitral awards in Mozambique is subject to consideration and recognition by the Mozambican Supreme Court.

INTELLECTUAL PROPERTY

In Mozambique, the protection of Intellectual Property is governed by the Copyright Law, approved by Law no. 9/2022 of 29 June) and the respective regulations, approved by Decree no. 46/2024 of 27 June and by the Industrial Property Code, approved by Decree no. 47/2015 of 15 December 2015. Mozambique employs an IP strategy known as the 'Intellectual Property Strategy-2008-2018' (currently under review) promulgated at the XXIII Meeting of the Council of Ministers on 28 August 2007, which identifies the international Conventions and Treaties that Mozambique has ratified or acceded to, as follows:

- Berne Convention for the Protection of Literary and Artistic Works (1886);
- Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement) (1994);
- Southern African Development Community (SADC) Protocol on IP;
- Paris Convention of 1883 for the Protection of Industrial Property, promulgated by Resolution No. 21/97 of 12 August 1997;
- Madrid Agreement (1891) and Protocol (1989) concerning the international registration of trademarks, promulgated by Resolution no. 20/97 of 12 August 1997;
- Nice Agreement on the International Classification of Goods and Services for the Purposes of the Registration of Marks (1957), approved by Resolution 38/2001 of 12 June 2001;
- Patent Cooperation Treaty (PCT) (1970) for the international registration of patents and utility models;
- Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement) (1994);
- Banjul Protocol on the accession of trademarks, adopted by Resolution 52/2017, with effect from 15 August 2020 (ARIPO);
- Harare Protocol on patents and industrial designs within the framework of the African Regional Intellectual Property Organisation (ARIPO), adopted by Resolution 34/99 of 16 November 1999;
- Swakopmund Protocol on the protection of traditional knowledge and expressions of folklore within the framework of ARIPO, adopted on 9 August 2010.

Mozambique is a member of the World Trade Organisation (WTO), the World Intellectual Property Organisation (WIPO) and the African Regional Intellectual Property Organisation (ARIPO).

TREATIES AND BILATERAL AGREEMENTS

Mozambique has signed investment promotion and reciprocal protection agreements with Algeria, Belgium, Luxembourg, China, Cuba, Denmark, Egypt, Finland, France, India, Indonesia, Italy, Mauritius, Netherlands, Portugal, South Africa, United Arab Emirates, Sweden, Switzerland, United Kingdom, USA, Vietnam, Zimbabwe and Japan. Mozambique has also signed bilateral treaties to prevent double taxation and tax evasion on income tax with Portugal, Mauritius, United Arab Emirates, Macau, Italy, Botswana, India, Vietnam and South Africa.

MEMBERSHIP OF INTERNATIONAL AND REGIONAL ORGANISATIONS

Mozambique is a member of the Southern African Development Community (SADC), African Union (AU), United Nations (UN), Community of Portuguese Language Countries (CPLP), British Commonwealth, African Countries of Portuguese Official Language (PALOP), International Monetary Fund (IMF), World Bank, Food and Agriculture Organisation (FAO), World Trade Organisation (WTO), World Tourism Organisation, International Labour Organisation (ILO), World Intellectual Property (WIPO), United Nations Educational, Scientific and Cultural Organisation (UNESCO), World Trade Organisation (WTO), International Fund for Agriculture Development (IFAD), World Food Program, International Criminal Police Organisation (INTERPOL), International Maritime Organisation, International Civil Aviation Organisation (ICAO), World Food Program, World Health Organisation (WHO), International Labour Organisation (ILO), the association of the countries on the edge of the Indian Ocean for Regional cooperation (IOR-

ARC), Organisation of African, Caribbean and Pacific States and Organisation of Islamic Cooperation.

ENERGY

Mozambique's vast energy resources have the capacity to satisfy most of its domestic energy needs. They include hydropower (the Cahora Bassa Dam), natural gas, coal, biomass, solar and wind power. The country has considerable hydropower potential (especially in the Zambezi River basin at sites such as Cahora Bassa) with an estimated capacity of 12 500 MW with an annual energy generation potential of 60 000 GWh. The country has expanded its energy generation capacity to more than 16 000 MW. This is a result of the commercial extraction of natural gas (the Pande gas fields), the rehabilitation and construction of new hydroelectric dams and the exploitation of alternative and renewable energies such as solar, oleic and biofuels (bioethanol, biodiesel and biogas).

Mozambique is a key player in the development of regional energy infrastructure. Mozambique's Southern African Power Pool (SAPP) interconnections offer opportunities for trading electricity regionally. There is an urgent need on a short, medium and long-term basis to promote the construction of additional and alternative sources of energy and the creation of transmission infrastructures to deliver power to load centers with cost effective rates. Under electricity legislation, the production, transport, distribution, sale, import and export of electricity, as well as the construction, operation and management of electrical facilities by individuals or by private and public entities require, as a rule, the grant of a concession by the Government. Moreover, power projects must be undertaken under a Public-Private Partnership regime.

MINING, OIL AND GAS

Mozambique has significant investment opportunities for the exploration, extraction, processing and utilization of natural gas, coal, gold, titanium, ilmenite, zircon, rutile, tantalite, marble, graphite and precious stones. The Strategic Plan for the Concession of Areas for Petroleum Operations, approved by Resolution 39/2021 of 4 August, states that Mozambique's sedimentary basins have great oil potential. The Mozambique Basin, which has an area of 300 000km^2, has a density of around one well per 8 000km^2 onshore and one well per 17 000km^2 offshore, while the Rovuma Basin, which has an area of 60 000km^2, has a density of one well per 17 000km^2 onshore and none offshore. In 2012, Mozambique emerged as a new natural gas giant with discoveries of more than 100 trillion cubic feet in Areas 1 and 4 of the offshore Rovuma Basin.

Under the Mining Law, a potential investor can obtain prospecting and exploration licences, mining concessions, mining certificates, mining passes, mining treatment licences and licenses to commercialize mining products. Exploration licences govern all research and prospecting activities and are valid for:

- 2 years for mineral resources intended for the construction industry, and may be renewed once for the same period; and
- 5 years for other mineral resources, including mineral water, and can be renewed once for a further 3 years.

Mining concessions grant the concessionaire (which must be a legal person incorporated and registered under Mozambican law) the right to extract, develop and process mineral resources discovered under an exploration licence. Mining concessions are valid for up to 25 years and can be extended for a further 25 years. Mining licences govern the sale and purchase of mineral products from outside Mozambique. These licences can be granted to Mozambican citizens as well as legal entities. All concession contracts for oil and gas exploration and production activities must be awarded by public tender, while concession contracts for other petroleum activities (e.g. infrastructure concession contract) can result from public tender or direct negotiation.

TELECOMMUNICATIONS

Although the State owned TMCEL (Mozambique Telecom) still enjoys a monopoly, the telecommunications sector was liberalised in 2004 and the mobile sub-sector has experienced significant growth. The current Telecommunications Law entered into force on 3 August 2016 and applies to natural and legal persons licensed for the establishment, management and operation of telecommunications networks and services. The law introduced an innovation by setting out the conditions under which diplomatic missions may set up and operate private telecommunications networks and radio equipment. Telecommunications licensees must, whenever requested by the Communications Regulatory Authority (INCM), cooperate and provide all information related to their activities (including financial information and information regarding future developments in their networks and services). The licensees may classify information they consider confidential and the INCM is prohibited from disclosing such confidential information.

The Telecommunications Law allows the owner of a private network to resell the existing available capacity of its facilities and to assign, transfer or dispose of the rights to use such facilities in favor of a telecommunications operator. The law also states that the setting, management and operation of networks and provision of telecommunications services is subject to the allocation of a unified license or a license by class and that the use of radio frequency spectrum is subject to a license. The licensing process has become more complex. The award of telecommunications or radio communications licenses involving the use of radio frequencies, numbering or other scarce resources, is subject

to a public tender process or auction on terms set out by the Government.

The sharing of telecommunication infrastructure between operators is mandatory. This is aimed at fostering competition and decreasing the investment required for the building and maintenance of networks (the previous law only required operators to allow access to their infrastructure). Operators of networks or public telecommunications service providers should connect with each other. Connection is defined as the physical connection of telecommunications networks used by the same or different operators in order to allow access and communications between different consumers of the services provided.

AGRICULTURE

Agriculture is one of the sectors that could easily be developed in Mozambique, as the country has a lot of potentially usable arable land, along with access to river water for irrigation in many areas, particularly in central and northern Mozambique. Agribusiness is therefore an important potential investment opportunity in Mozambique. Mozambique exports baby corn, flowers, citrus fruits, cashew nuts, various fruits, chillies and peppers. There are also opportunities for the production of cereals, fruit, flowers and vegetables for the local market and for export.

Following the approval of the new national land policy by resolution 45/2022 of 28 November, which responded to the challenges of consolidating the structures of the market economy, taking into account the challenges posed by the general increase in population, the accelerated growth of the urban population, climate change and the emergence of mega projects. The public consultation process for the revision of Law 19/97 of 1 October is therefore underway, and it is hoped that the revision will introduce a legal and institutional framework adjusted to the country's new social and economic dynamics and promote the right to use and enjoy land.

LABOUR RELATIONS

The national legal framework establishes a set of laws and regulations that protect legal-labour relations between national and foreign workers and employers. Law no. 13/2023, of 25 August, which approves the Labour Law, recently came into force and includes a number of changes in order to respond and adjust the legal framework to the new dynamics of socio-economic development in the country:

- making employment contracts on commission, home work contracts, contract work, temporary work, employment contracts for use, intermittent work contracts and teleworking subject to the written form
- extending paternity leave to seven days in the event of the birth of a child and sixty days in the event of the death or incapacity of the parent
- the system for hiring workers of foreign nationality for non-profit organizations was strengthened, as was the system for plurality of employers and provision was made for multi-employment
- the legal system for intermittent work contracts and teleworking was introduced
- working hours were established on an alternating basis
- the system for suspending employment contracts due to force majeure and unforeseeable circumstances was established.

The hiring of foreign workers is specifically regulated by Decree 37/2016 of 31 August 2016, amended by Decree 45/2021 of 01 July 2021, as well as by Decree 43/2022 of 19 August 2022, which establishes the Regulation of the mechanisms and procedures for hiring citizens of foreign nationality, in this sense, under the terms of this regulation it is foreseen that, as a general rule, foreign workers are entitled to the same treatment as Mozambican workers. However, there are certain quotas applicable to the number of foreign workers that a company (national or foreign) can employ in Mozambique:

- the maximum percentage for foreign workers is 5% for large enterprises employing more than 100 employees
- the maximum percentage for foreign workers is 8% for medium enterprises
- The contracting of foreigners by national and foreign employers is subject to authorisation by the Minister of Labour, or the entity to which the minister delegates the relevant authority.

Foreigners may be hired for long term work in one of two ways:

- through a special quota system that is granted under the investment project approved by the government
- under a work authorisation that is granted under the discretionary power of the Minister of Labour.

Work permits will generally only be issued in accordance with the following work permit quotas provided for by legislation:

- 5% (five per cent) of the total number of employees, for large companies – companies with more than 100 (one hundred) employees
- 8% (eight per cent) of the total number of employees for medium-to-large sized companies – companies with more than 30 (thirty) and up to 100 (one hundred) employees
- 10% (ten per cent) of the total number of employees, for medium-sized companies – companies more than 10 (ten) and up to 30 (thirty) employees
- 15% of the total number of employees, for small-sized companies – companies up to 10 employees.

In investment projects approved by the government, in which the hiring of foreign employees is foreseen in a

percentage lower or higher than those foreseen in the quota system, a work permit is not required, and communication to the Minister who oversees the Labour area is sufficient for this purpose. Employees that remain in Mozambique for more than 120 (one hundred and twenty) days per year require a work permit, which is valid for 2 (two) years and renewable for an unlimited number of two-year periods. Expatriates must also hold a valid work visa and residence permit. A short-term work permit, which does not fall under the work permit quota system, can be obtained for a period of up to 90 (nineteen) days in general and 180 (one hundred and eighty) days for the oil and gas and mining industries. Special permit provisions exist in the mining and oil and gas sector maximum percentage for foreign workers is 10% for small enterprises.